

Legislator Uncertainty, Legislative Control, and the Delegation of Legislative Power

MORRIS P. FIORINA
Harvard University

1. THE QUESTION

On May 2, 1878, the House Commerce Committee favorably reported a bill "to regulate interstate commerce and to prohibit unjust discrimination by common carriers." Known as the Reagan bill, after the chairman, John Reagan, of Texas, H.R. 3547 outlawed rebates and other forms of discrimination and included a restrictive long- and short-haul clause. The bill did not establish a federal commission to enforce the law, however, providing only that aggrieved shippers could bring suit in the federal courts and, if successful, could recover triple damages. To supply additional enforcement incentives railroads were to be fined a minimum of \$1,000 for each offense, this amount to be divided between the government and the "informer." After lengthy debate and the addition of a provision outlawing pools (agreements to split traffic or revenue) the Reagan bill passed the Democratic House, only to disappear without a trace in the Republican Senate.¹

Senate inaction stalled the regulatory drive until 1885. In that year the Republican Senate adopted a bill reported by a select committee chaired by

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1. The summary of legislative activity provided in the text is drawn from the *Congressional Record*. For the text of the 1878 Reagan bill, see 45th Cong., 2d Sess. 3096-97 (1878).

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Shelby Cullom of Illinois. Much weaker than its House counterpart, the Cullom bill required that rates be reasonable and nondiscriminatory, but it did not flatly prohibit rebates and other discriminations and made no mention of pooling or long- and short-haul discrimination. Of particular interest, the feature most heavily emphasized by proponents of the bill was the federal commission it would establish. Upon submission of a complaint the commission would investigate. If the complaint were upheld, damages would be assessed but no further liability would exist. If a company refused to accept the commission's judgment, the matter would go to the federal district attorney, and if the commission were upheld in court, an additional maximum fine of \$1,000 would be levied. Though the Cullom bill passed the Senate and the Reagan bill the House, opponents of regulation blocked a conference and the bills died with the expiration of the Forty-eighth Congress.

In the Forty-ninth Congress the Cullom bill, now sporting a weak long- and short-haul provision and calling for a commission study of pooling, passed overwhelmingly in April 1886 and went to the House, where the Reagan bill was substituted and passed overwhelmingly. While Congress was in recess the Supreme Court handed down its *Wabash* decision (118 U.S. 557 [1886]) voiding state regulation of interstate commerce. Congress resumed deliberations against a new status quo of no regulation, with both parties and chambers believing that some law was a political necessity.

Ultimately, the Senate conceded on substance, agreeing to outlaw pooling (thereby losing the support of one of its three conferees and many of the railroads) and accepting a still stronger long- and short-haul provision.² The House conceded on procedure, agreeing to accept the Senate commission. Both houses approved the conference report by large majorities in the spring of 1887, and the Interstate Commerce Commission (ICC) was established. The textbooks emphasize the substance of the fight for federal regulation of the railroads—rebates and long- and short-haul discrimination in particular. But one comes away from the legislative history with the strong sense that regulation would have come easier and earlier had not majorities of the House and Senate disagreed so vehemently on the method of enforcing regulation. Indeed, given the earlier debates and events there is good reason to believe

2. After reading the legislative history of railroad regulation I find it difficult to attach much credence to Kolko's conspiracy theory of the origins of railroad regulation. According to Kolko the railroads were behind the movement for federal regulation. He concedes that various controversies held matters up for some years, but he regards these as "disagreements over details" that should not obscure the underlying agreement on the principle of federal regulation. It is almost certainly true that most of the industry strongly desired legalized pooling and, failing that, saw merit in the supervision of a friendly Massachusetts-type commission. Thus, some support for the Senate bill is understandable, though a number of the senators most closely associated with railroads absented themselves from the final vote (Aldrich, Cameron, Stanford). But there is every indication that the roads abhorred the House bill, and Senate acceptance of the ban on pooling was sufficient to move many of them to oppose the conference report.

that absent the Wabash stimulus, the House and Senate would have remained at loggerheads, continuing the decade-long stalemate into future Congresses. Was procedure viewed as more important than substance? Probably not, but procedure was viewed by many as the key to substance.

Standard commentaries (Friedman) view the establishment of the ICC as a "natural" response to the demands of a new age—the first step in evolving beyond a "state of courts and parties" (Skowronek). After a century of experience with such major delegations we tend to take them for granted and seldom regard their existence as an interesting question (Lowi). As the railroad case shows, however, such "natural adaptations" may be highly controversial at the time and indeed may remain so. One should not forget that the existence and scope of delegation has been a major theme of at least one presidential candidate in four of the past six elections.³ Moreover, the proper limits and scope of delegation is a subject of renewed interest in legal circles (Ely: 131–34; Aranson et al.; Mashaw), which has even reappeared in the opinions of Supreme Court justices, namely, Renquist's dissents in the *Benzene* (448 U.S. 607 [1980]) and *Cotton Dust* (101 U.S. 2478 [1981]) cases. Thus, common and familiar though it may be, legislative delegation remains a matter of both political controversy and academic interest.⁴

Of course, given the range and number of problems that modern governments confront, legislative delegation to bureaucratic entities is hardly surprising. But complexity of governmental tasks is not a sufficient explanation for observed patterns of delegation, because legislatures sometimes choose to retain close control over complex policy realms such as taxation (Jaffe) while relinquishing close control over many simpler realms. Moreover, economists have proposed less bureaucratic alternatives to command and control regulation (Schultze), and lawyers (especially aspiring judges) periodically remind us of the merits of courts (Posner: 479–81). Given variation in observed patterns of delegation, and the existence of institutional alternatives, legislative decisions to delegate to administrators suggest the operation of incentives and factors beyond neutral efforts to deal with a complex world.

In an earlier article (Fiorina, 1982) I identified a number of political bases for delegations to administrators. This paper examines one of these in greater depth. How does legislator uncertainty about the implementation of the legislation affect the decision to delegate?

3. Wallace in 1964, Wallace and Nixon in 1968, Carter in 1976, and Carter and Reagan in 1980.

4. The reader should recall that those who framed our system of government adopted no explicit limitations on the scope and manner of legislative delegation. Madison and his contemporaries foresaw little danger from congressmen giving up too much of their power: "The legislative power is everywhere extending the sphere of its activity, and drawing all power into its impetuous vortex" (*Federalist*, No. 48). Dangers arising from the natural inclinations of legislatures understandably received attention, whereas those arising from legislatures acting contrary to their supposed natural inclinations were ignored.

2. UNCERTAINTY, LOTTERIES, AND DELEGATION

Though it might seem to be an archaic case with limited relevance to modern concerns, the Interstate Commerce Act of 1887 has a number of advantages as a starting point for thinking about delegation. First, in the 1880s there was no extensive history of delegation or indeed even of federal regulation.⁵ The act is considered the first major federal regulatory intervention. Congressional actors were considering the adoption of a new institutional form, and consequently we might expect that they gave careful thought to what they were doing and what the likely results would be. Certainly the fact that the establishment of the commission became a major issue suggests that the ultimate decision to delegate the regulatory power was a conscious and calculated one. Second, while the complexity of railroad regulation frequently was raised in debate (by friends of the railroads and/or the commission), a House majority saw the issue in very simple terms—any competent public-spirited individual could discharge the responsibilities imposed by the legislation.⁶ For the House at least there is no evidence that legislators felt overwhelmed by the complexity of the problem they faced. Finally, the historical era is one of a weak presidency and strong Congress. Thus, legislation is more likely to embody the preferences and intentions of legislators than would be the case in, say, the 1930s.

A consideration that looms large in the debate is how the legislation would operate in practice. Proponents of the commission argued that court enforcement would fail because few shippers could match the legal and other resources of the roads.⁷ Opponents countered that the proposed commission did little to advance the cause of the small shipper vis-à-vis the railroads. Would plaintiffs have to travel great distances—even to Washington—to make a complaint? To testify in a proceeding? Proponents argued that “iron-clad” laws would eliminate the flexibility needed to regulate a large and

5. Of course, there was extensive state experience with regulation in general, and delegation to commissions in particular, and some of the congressional actors had first-hand experience at the state level. Most prominently, Cullom was Speaker of the Illinois House when that state passed its influential “Granger Law” of 1873, and as governor he took an active interest in the operation of the Railroad and Warehouse Commission (Cullom: 306–12). There were a few previous examples of federal commissions, though these were not regulatory in nature. Commission opponents derided the electoral commission (Hayes-Tilden contested election), the tariff commission (1882), and the “Mormon Commission” (set up to consider the issue of polygamy).

6. Recall that the ICC originally was not charged with setting rates, though it could disallow rates judged to be extortionate or discriminatory. Backers of the Reagan bill repeatedly contended that the issue was a simple matter of prosecuting discrimination and railroad collusion.

7. According to Congressman Hepburn (R. Iowa) (*Congressional Record*, 49th Cong., 1st Sess., appendix: 457 [1886]):

He stands there alone, weak and poor and ignorant though he may be, with a ten-dollar case or a one-hundred dollar case. He must make his own case against a wealthy corporation. He must do that, too, without technical knowledge of the matters litigated. He has no

growing industry vital to the country's continued economic development. Opponents countered that right was right and wrong was wrong, so why not "iron-clad" laws?⁸ Some representatives contended that the harsh glare of public exposure would do more to curb railroad abuses than rigid laws, but others were more dubious about the efficacy of moral suasion.⁹

By far the most common theme in the debate, however, was the question of future bias in the operation of a commission. Judge Reagan and his allies held courts in high regard, repeatedly arguing that farmers and shippers could count on a fair hearing from judges and juries of their peers. Commissions, they argued, had been and would continue to be unduly influenced if not suborned by railroads. Reagan expressed the fear that

the railroad interests will combine their power to control the appointment of the commissioners in their own interest. . . . It is not to be supposed that they would directly approach a President of the United States and corruptly propose to secure the appointment of commissioners in their own interest; but the vast resources which they control . . . enables them to control the best legal and business talent of the country, and would enable them to procure influential men in their interest to appeal to the President in the name of justice and on account of capacity to name such men as would serve their purposes.¹⁰

witnesses who are better informed than himself. The witnesses which must establish his case are the experts that belong to the other side of the question.

8. As always, Congressman Weaver (Greenback Democrat, Iowa) put the argument most colorfully (*Congressional Record*, 49th Cong., 2d Sess. 820 [1887]):

Suppose the great Lawgiver had constructed the Ten Commandments with the same uncertainty. Suppose he had said: "Thou shalt not steal; thou shalt not bear false witness; thou shalt not covet—contemporaneously or under substantially similar circumstances and conditions" (laughter); or suppose at the conclusion of the decalogue the following provision had been added: "Provided, however, that upon application . . . persons so designated may be authorized to cheat, steal, bear false witness, or covet, and said commission may from time to time prescribe the extent to which said persons may be relieved from any or all of said commandments."

9. Compare the remarks of Congressman Long (R. Mass.), a commission supporter, with those of Congressman Glascock (D. Calif.), an opponent (*Congressional Record*, 48th Cong., 2d Sess. 44, 191 [1885]):

A corporation may be as powerful as an ancient baron, it may laugh at statutory penalties, but it goes on its knees, it trembles with terror at entire exposure. Nothing can stand the illumination of the public gaze. This has been the tendency in Massachusetts. . . .

This is the body before the shake of whose gloved finger the great transportation companies of the country are to bow in humble submission. It might work wonders as a remedial agent; it probably would with the god-fearing carriers of Massachusetts, but the corporations of the Middle and Western States are made of sterner stuff. A little less of the dude and more of the man is required to meet and redress the wrongs complained of.

10. *Congressional Record*, 49th Cong., 1st Sess. 7283 (1886). On several occasions Reagan was asked why he believed the courts to be less susceptible to railroad influence than were

Commission supporters clearly agreed that the roads would do better before a commission than before the courts, though the greater sympathy of the commission would only reflect honest and knowledgeable commissioners making decisions based on the merits of the case. Supporters argued that the decisions of an understanding and sympathetic commission would advance the public interest more dependably than those of juries presumably ignorant of railroad economics and moved by irrational passions.¹¹

The preceding summary can provide only a brief overview of what was a rich and often impressive legislative debate. It suffices to make clear, however, that many of the congressional actors viewed the impact of the regulation as critically dependent on the enforcement procedure adopted. The Senate majority acceded to House demands for explicit long- and short-haul and pooling clauses but insisted on a commission, which they believed would interpret the legislation leniently and sympathetically. The House majority grudgingly accepted the commission only upon winning an explicit prohibition of pooling and a stonger long- and short-haul provision. Both sides knew that any legislation inevitably would leave some discretion to Congress's delegatee. The Senate majority wished to enhance such discretion, the House majority to restrict it. Such desires were based on predictions of how the regulation would be enforced by courts and a commission respectively, predictions evidently in reasonable agreement. Those are the general facts; the question is whether we can reason about them in an intellectually profitable way.

In an earlier discussion (Fiorina, 1982) I suggested that in choosing between administrative and court-enforced regulation legislators could be viewed as choosing between relatively less certain and more certain alternatives. There is a considerable theoretical literature on rational choice under uncertainty which can be brought to bear on such problems. One well-known implication is that risk-acceptant actors will choose a lottery in preference to a certain alternative under specified conditions.¹² By exploiting this line of work I was able to suggest several propositions about legislative delegation.¹³

commissioners. In the best Madisonian tradition Reagan argued that courts were so numerous and dealt with such a wide variety of issues that no single interest would find it practical or possible to control them, though isolated instances of corruption certainly were possible, and indeed were matters of record.

11. The charge that courts were antirailroad probably had its roots in the experience with state courts. In contrast, Merkel (337) argues that subsequent to the Judiciary Act of 1875, "the expanded jurisdiction of the United States courts allowed federal judges to devise a uniform national policy toward interstate commerce that was favorable to business development."

12. For a general introduction see Raiffa. For the specific results relied on here, see Shepsle (1972) and Zeckhauser.

13. Briefly, if we assume bell-shaped utility functions (as in the early spatial-modeling literature), legislators will be risk-acceptant in regions "far" from their maxima. Thus, legislators who believe *either* that the legislation does not go far enough or that it goes too far will be those more likely to prefer to gamble by opting for administrative discretion—at least under the assumption that there is no systematic bias in the exercise of such discretion. If predictable bias exists, then legislators are further subdivided. For elaboration, see Fiorina (1982: 55–60).

Unfortunately, risk acceptance is not a standard assumption; indeed, risk aversion is standard. Certainly, however, we can abandon the assumption of risk acceptance, without abandoning the general notion that administrative and court-enforced regulation can be viewed as different types of risks. Thus, the following development assumes risk-averse legislators; the assumptions that carry the weight of the analysis are those specifying the differences between legislator calculations about administration vis-à-vis courts. As it turns out, the implications of the abstract analysis are unsurprising. But when combined with knowledge about the institutional features of American politics, empirical hypotheses of a more interesting nature emerge.

2.1. THE BASIC MODEL

The elements of the model appear in figure 1. Suppose that the status quo is no regulation and that the legislature is debating whether to intervene. We may think of their choice as one of weaker versus stronger regulation, or pro-producer versus pro-consumer regulation, and represent the issue as the choice of a point on the horizontal axis. Legislators have von Neumann–Morgenstern utility functions defined over the policy space, functions that are single-peaked and concave (implying risk aversion). The i^{th} legislator has ideal point x_i . Under such assumptions the outcome is the position of the median legislator, x^* . This much is standard (Black). Note, incidentally, that utility functions are not assumed to be symmetric, a fact of some consequence in what follows. Empirically, symmetry is a doubtful property in the regulatory arena. Environmental activists, for example, argue that the consequences of too stringent regulation are purely monetary, whereas the consequences of too lenient regulation are human deaths and environmental catastrophe. Or to take a less apocalyptic example, friends of the railroads argued in 1886 that later Congresses could always strengthen a regulatory law that was too loose but that by the time a later Congress could relax a law that was too restrictive, railroads would go bankrupt, widows and orphans would lose their savings, and so on.

Of course, each legislator realizes that all statutory language contains some ambiguity, conditions change, unforeseen political events occur, and so forth, all of which militate against treating x^* as a certainty. Rather, passage of x^* results in some probability distribution over the policies that actually will be enforced. Given the language embodied in x^* , legislators believe that the actual level of regulation enforced could be as low as x' or as high as x'' . What factors might systematically affect those probability distributions? Surely one such factor would be the enforcement procedure adopted in the legislation.

Let p^c be the legislator's subjective probability distribution over regulation levels given court enforcement, and p^a be the analogous probability distribution given administrative enforcement. Now come the critical assumptions. Suppose courts are viewed as "faithful" if uncertain enforcers: p^c is symmetric

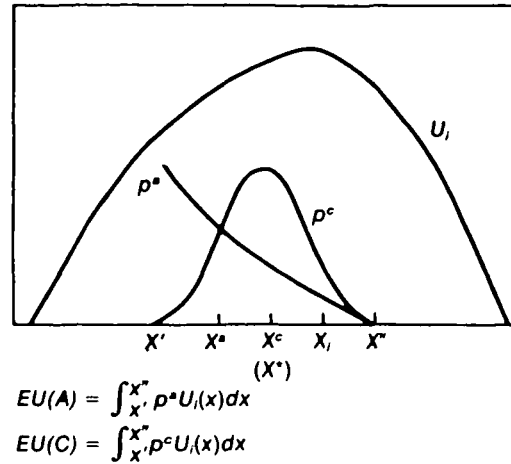


Figure 1. Elements of Basic Model

about x^* , with the expected level of regulation given court enforcement, x^c , equal to x^* , the legislative intent.¹⁴ Suppose, in contrast, that agencies are viewed as biased enforcers: p^a is skewed (to the left in the figure), with the expected level of agency enforcement, x^a , lower (in the figure) or higher than x^* . Though these probability distributions are subjective, assume that at any given time legislators agree on their shapes and locations.¹⁵ How do legislators utilize the decision components introduced above? I suggest that they calculate the expected utility of administrative enforcement, $EU(A)$, compare it to the expected utility of court enforcement, $EU(C)$, and depending on their utility functions and probability estimates opt for one enforcement scheme or the other. Here voting theorists will observe that rational legislators would prefer to collapse the two stages and propose compound amendments consisting of a preferred level of regulation and preferred enforcement mechanism. In this situation, of course, a long line of research culminating in McKelvey's "anything can happen" theorem implies that no legislative equilibrium exists and no predictions will be forthcoming from the model. By dividing the

14. According to Landes and Posner (885):

The value (both social and private) of courts is a function in major part of the predictability of their decisions, and decision according to the original meaning of a statute rather than according to the ever-shifting preferences of successive legislatures is probably an important source of that predictability, in part because such a decision is based on materials (for example, the congressional debates) available to all to study and base predictions of judicial behavior on.

15. For purposes of illustration I have given the distributions in the figure very different shapes and expectations. In any real world application, such differences are empirical questions, of course. Evidently, the less the distributions are expected to differ, the less important will be the issue of enforcement in the model.

decision into two stages, and applying Black's and May's theorems sequentially, are we simply jerry-building an escape route out of the disequilibrium trap?

I think not. The two-stage process is actually a reasonably faithful abstraction from real legislative processes. These are hemmed in at every turn by complicated rules of procedure (Shepsle, 1979). Many such rules have the effect of preventing complicated proposals from being pitted directly against each other. To elaborate, when a legislator seeks to call up a bill there may be a vote on whether to consider it. Such a vote permits legislators to compare the set of changes embodied in the bill to the status quo. Similarly, after a bill has been debated and amended, there are opportunities to make global comparisons—to recommit the bill, to strike the enacting clause, to pass the bill. Between these preliminary and final stages, however, when the bill is being debated and amended, consideration proceeds section by section, and only amendments germane to the section are in order. As an empirical matter, substantive provisions and enforcement provisions of legislation fall into different sections, with enforcement typically following substance.¹⁶ Thus, empirically, the legislative process consists of a series of restricted dimension-by-dimension decisions bounded on both ends by decisions pitting a complex package against the status quo.

Returning to the main lines of the argument, it turns out that with a single substantive dimension and a dichotomous enforcement decision, all legislators fall into one of ten classes as listed in table 1. That is, every logically

Table 1. Delegation Implications of Legislator Preference Orderings

Case	Ordering	Choice
1	$x_i \leq x' < x^a < x^c$	Agency
2	$x^a < x^c < x' \leq x_i$	Courts
3	$x^c < x^a < x' \leq x_i$	Agency
4	$x_i \leq x' < x^c < x^a$	Courts
5	$x' < x_i \leq x^a < x^c$	Indeterminate
6	$x^a < x_i \leq x^c$	Indeterminate
7	$x^a < x^c \leq x_i < x'$	Indeterminate
8	$x' < x_i \leq x^c < x^a$	Indeterminate
9	$x^c < x_i \leq x^a$	Indeterminate
10	$x^c < x^a \leq x_i < x'$	Indeterminate
Assumptions: $x' < x^a$, $x^c < x^a$ (nondegenerate) $x^a \neq x^c$		

16. Some readers, including the editor, Jerry Mashaw, have quibbled with this general characterization. Undoubtedly it is difficult to draft a substantive provision so that not a word need be changed no matter what the later decision on enforcement provisions. But it is possible to reach agreement on substance while fully realizing that technical modifications in the provision may be needed depending on later enforcement decisions. Actually, in the case that motivates this paper, there were floor amendments offered in the House that accepted every clause of the Reagan bill's substance but only sought to substitute the Senate's commission enforcement for the House's court enforcement. Analyses of these votes will be reported in future papers.

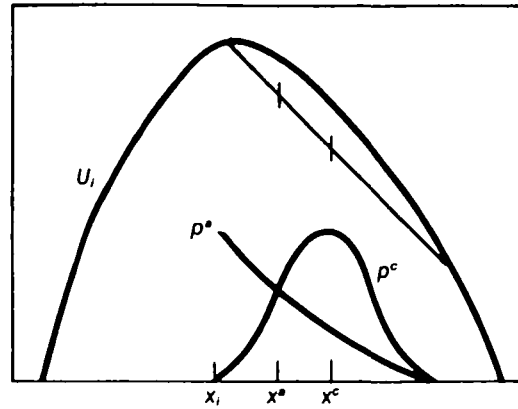
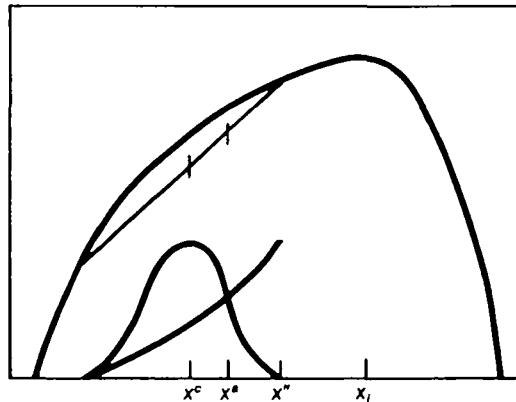
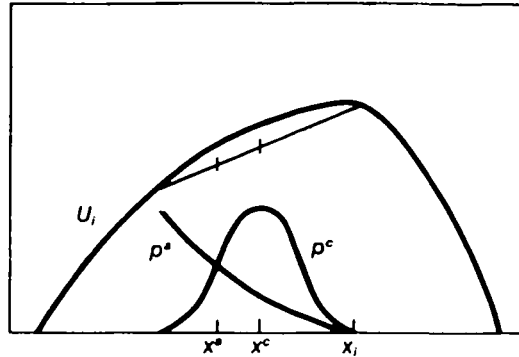
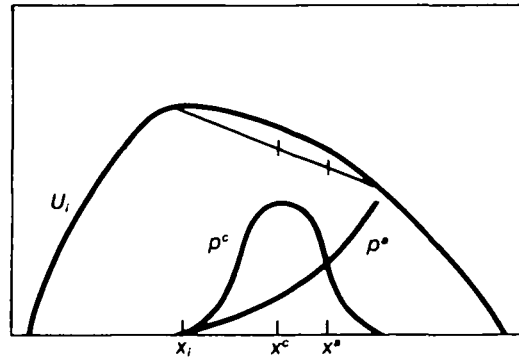
Case 1. $x_i \leq x' < x^* < x^c$ Case 3. $x^c < x^* < x'' < x_i$

Figure 2a. Agency Preference

possible legislator preference ordering falls into one of the ten types defined in the table. Given agreement on the skew of p^a , only five classes (1, 2, 5, 6, 7 or 3, 4, 8, 9, 10) can coexist on any one decision. Of the ten classes, only the first four yield a determinate choice in the model. These are depicted in figures 2a and 2b. To elaborate, in case 1, the legislator believes x^* mandates too high a level of regulation and that an agency is likely to enforce the regulation at a lower though still excessive level. Unsurprisingly, this legislator opts for administrative enforcement. His mirror image in case 3 believes that the mandated level of regulation is too low and that an agency is likely to enforce the regulation at a higher though still inadequate level. He too opts for administrative enforcement.



Case 2. $x^a < x^c < x^* \leq x_i$



Case 4. $x_i \leq x' < x^c < x^a$

Figure 2b. Court Preferences

In contrast, the case 2 legislator agrees with the case 3 legislator that the legislation provides an inadequate level of regulation but disagrees in believing that an agency would weaken the regulation still further. Similarly, the case 4 legislator agrees with the case 1 legislator that the legislation is too strong but disagrees in fearing that administrative enforcement would result in even stronger regulation. The case 2 and case 4 mirror images opt for court enforcement.

Because legislator preferences are not monotonically increasing or decreasing over the full range of the lottery, the remaining cases cannot be explicated diagrammatically in the same manner as cases 1–4, but examples demonstrate that legislators in these categories may opt for either court or

agency enforcement. As figure 3 shows, their decisions depend not just on the order of x_i , x^c , and x^a , but on the specific details of their utility and probability functions. The figure illustrates two case 10 legislators whose utility functions have identical ideal points but an opposite asymmetry. Legislator A prefers court enforcement, legislator B agency enforcement. Case 10 is symmetric with case 5, and by permuting x^a and x^c we get case 7 from 10 and case 8 from 5. Case 6 and 9 legislators also may show either preference. Cases 5, 7, 8, and 10 are particularly interesting in that the expectation of one enforcement procedure is known to be nearer the legislator's ideal than the expectation of the other, but he or she may opt for the gamble whose expectation is farther. Such possibilities depend, of course, on asymmetric preferences that create a disjunction between policy distance and utility difference.

As the diagrams illustrate, two considerations greatly affect the choice between administrative and court enforcement. The first is the position of the legislator in relation to the median in the legislature. *Ceteris paribus*, the model implies that we will find the most solid opposition to and the most solid

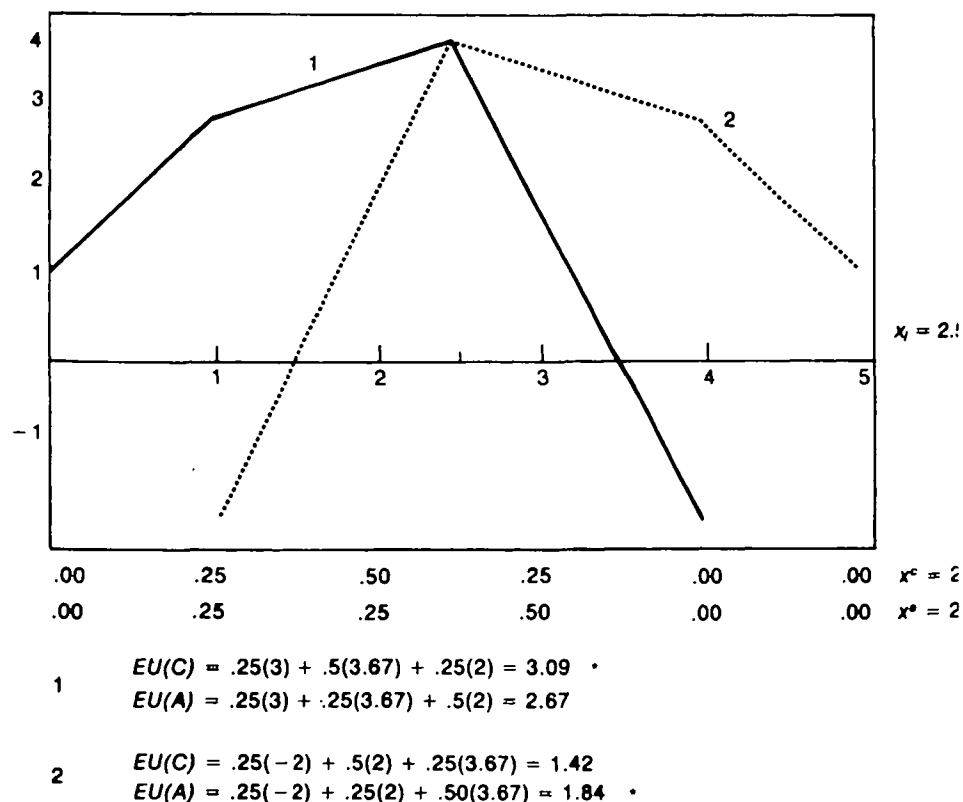


Figure 3. Could-Go-Either-Way Preferences

support for administrative regulation among those relatively far from the median. Those nearer the median will show a more mixed profile of support. Thus, each of the opposing groups on the substantive extremes will show an internal (opposite) consensus on the preferred enforcement procedure, whereas those with relatively more moderate substantive preferences will disagree among themselves on the preferred enforcement procedure.

Referring briefly to the Interstate Commerce Act, the most virulently antirailroad congressmen were also most opposed to a commission (Congressman Weaver, the Greenback Democrat quoted in note 8 above, was one of the small minority who voted against the final compromise, arguing that it was worse than nothing). In contrast, the most prorailroad senators were those most supportive of a commission. Those who showed a more moderate stance in regard to the roads seemed to give less indication that they would go to the wall over the question of enforcement.¹⁷

The second consideration governing choice is the legislator's beliefs about the nature of the administrative process that will implement the legislation. Legislators far from the median who foresee a pattern of agency enforcement to their liking will favor administrative regulation more than their opposites who regard that pattern as unfavorable. On first glance this proposition is so obvious as to seem devoid of interest but when conjoined with institutional and historical information, the proposition suggests some interesting implications.

Can we identify factors which might bear a systematic relationship to distance from the legislative median and to optimism and pessimism about agency enforcement? A number of relevant possibilities are suggested by the institutional structure of Congress. Consider first the committee system. As characterized by empirical research (Shepsle, 1978), the committee assignment process is largely one of self-selection: most members achieve membership on one of the few committees they most strongly prefer. This leads to the commonly observed pattern of unrepresentative committees; farm-state representatives gravitate to the Agriculture committees, urban representatives to the Banking, Housing, and Urban Affairs committees, western representatives to the Interior committees, and so forth. In short, many substantive committees are overpopulated by "interested" congressmen. Often this means a unified committee dominated by what Niskanen calls the "high demand" legislators—those most desirous of federal activities/programs in the relevant policy area—as in the committees named above. In other cases a pattern of committee polarization develops, as those most interested in federal action and those most interested in federal inaction both seek membership on the committee. Fenno's portrait of the divided House Education and Labor committee is the classic example. Given its jurisdiction the committee attracted the most liberal, union-oriented Democrats and the most conserva-

17. These statements are impressions arising from the debates. In the larger project now underway, scaling techniques will be used to put such impressions on a firmer footing.

tive, anti-union Republicans. Similarly, in the years of the great civil rights struggles, the Judiciary committees attracted the most pro-civil rights northern Democrats and the most anti-civil rights southern Democrats. Whether unified or not, however, committees tend to be populated by legislators falling relatively far from the medians of their parent chambers—cases 1–4.

The congressional division of labor and power gives an authorizing committee and one or more subcommittees jurisdiction over agency activities or programs and an appropriations subcommittee control over agency purse strings. Committee members are in a position to influence agency behavior, and their chairmen are in the most favored positions of all. Thus, in the case of unified committees, we might expect that committee leaders will be most supportive of administrative enforcement, rank-and-file members next most supportive, and nonmembers least supportive, on the presumption that the proportion of case 1 or 3 legislators falls across those categories. In divided or polarized committees, we expect to observe committee division over the enforcement question. Expecting to influence the agency, majority members (case 1 or 3), especially the chair, favor administrative regulation; expecting the agency to be influenced by the majority, minority members (case 2 or 4) see relatively greater merit in court enforcement.

The preceding hypotheses, especially those pertaining to polarized committees, rest on an implicit assumption—that committee influentials can reasonably anticipate continuing as committee influentials, which in turn entails the presumption that continued control by their party is likely. If control of the legislature swings back and forth between the parties, so will the capacity to influence the administrative process, which may in turn increase the attractiveness of relatively less variable court control. Thus, during stable electoral periods when one party enjoys a secure edge over the other we might expect that majority party legislators would favor administrative processes more than would minority party legislators, other things equal. During the New Deal period congressional Democrats could contemplate control over the administrative process for the foreseeable future. In the 1970s, with Republican presidents and “emerging Republican majorities,” Democratic congressmen may have seen new merit in the greater insulation of courts.

Both houses share the authorization and appropriations powers, and in that regard their committees meet on more or less equal footing. But the Senate has one power the House does not share—the power of confirmation. This fact is commonly dismissed with the observation that the Senate gives only the most perfunctory attention to presidential nominations of administrators and commissioners. The literature contains numerous citations of the datum that the average length of Senate hearings on ICC commissioners between 1949 and 1974 was seventeen minutes (U.S. Congress). Such arguments overlook informal channels of clearance with influential senators. In addition, they ignore the existence of indirect paths of influence, such as an interest group’s backing of a nominee that gives the senators all the information they really

need to know. If the power of confirmation is significant, and I think it is, then other things equal, senators should be more confident of their future capacity to influence the administrative process and therefore should provide greater support for delegation than congressmen.

In the case of the Interstate Commerce Act the names of likely commissioners were mentioned prominently in the debate, especially in the Senate. Cullom (227–29) claims responsibility for the nomination of Thomas Cooley, the first chairman of the ICC, a highly qualified individual, though no enemy of the railroads. One wonders whether Reagan's forces in the House would have opposed commission enforcement so intensely had they been the majority that would advise on and consent to commission appointments. ICC appointments continued to receive the attention of the Senate for some time. In 1921 President Coolidge nominated to the ICC a defeated twenty year congressman, John Esch (R. Wis.), whom the Senate routinely confirmed. During his tenure he cast a vote in a ratemaking case that advantaged Ohio and Pennsylvania coal producers at the expense of those in West Virginia. Perhaps Esch's House years led him to see the issue in House terms (fifty-eight congressional districts in Ohio and Pennsylvania versus six in West Virginia), perhaps not. At any rate, when Esch was renominated in 1928 Senator Matthew Neeley (D. W. Va.) led a successful fight to block the nomination.¹⁸ Such instances are rare, to be sure, but their rarity is equally consistent with the notion that the Senate exerts routine, informal, and largely invisible influence as with the notion that the Senate pays no attention to who runs the administrative agencies of government.¹⁹

Perhaps the most significant feature of the preceding discussion is that party (Republican versus Democrat) and ideology (liberal versus conservative) are not used as explanatory concepts. Senator Cullom, father of the ICC, was a regular Republican. More recently, Senator Warren Magnuson, resuscitator of a decrepit Federal Trade Commission, was a liberal Democrat. In the model developed here their status as senators, committee chairs, and members of a fairly stable Senate majority accounts for their behavior, not their party or ideology. Though the New Deal burst of regulatory activity seems to have left an association between Democrats and predilection for the administrative process, there are some instances (Federal Radio Commission, 1927, and Food and Drug Administration, 1931) of agency creation under Republican Senates and presidents. Perhaps the modern Republican hostility to administration simply reflects their typical minority status in Congress over the past half-century.

No doubt other systematic sources of legislative optimism and pessimism about administrative processes can be identified, but the preceding illustrate

18. This incidence is recounted by Kohlmeier (57).

19. For an extended development of this argument and its application to the recent history of the Federal Trade Commission, see Weingast and Moran.

the point. A simple and seemingly obvious abstract proposition suggests an array of empirical relationships when interpreted in light of various features of the American political system. Whether such relationships will be found, and if so, whether they will prove very important, remains to be seen.

2.2. POSSIBLE EXTENSIONS OF THE MODEL

At several points in the discussion it has been difficult to avoid conflating the identity of the delegatee (agency or court) with the breadth of the delegation. Much of the literature speaks of broad delegations and delegations to administrative agencies as flip sides of the same coin, again perhaps a legacy of New Deal legislation such as that creating the Federal Communications Commission, the Civil Aeronautics Board, and the Securities and Exchange Commission. But these are distinct dimensions of legislative delegation. The Sherman Act was a broad delegation to the courts; parts of the Clean Air Act are narrow delegations to the Environmental Protection Agency. Perhaps the two dimensions are highly correlated but this seems to be an assumption rather than a conclusion based on empirical research.

In the model developed herein, $[x', x'']$ (the proportion of the policy space over which the distributions p^c and p^a are defined) reflects the breadth of the delegation. What happens if the potential policy range is expanded by rendering the language of the statute more ambiguous or by expanding administrative discretion to suspend statutory provisions? Clearly, preferences now can change. Referring back to figures 2a–2b, legislators in cases 1–4 may migrate to cases 5, 7, 10, and 8. Thus, holding everything else constant, the general effect of a symmetric increase in the breadth of a delegation will be to weaken the logical relationship between distance from the median and homogeneity of preference for administrative versus court procedures. In other words, an increasing tendency to legislate in vague terms may be accompanied by a decline in the extent to which reliance on the administrative process becomes a clear-cut issue separating legislators with different substantive preferences.

Of course, the more interesting question arises when increasing breadth of the delegation combines with increasing bias in the administrative process. This complicates the analysis considerably, and I will do no more at this time than present a loose argument that a model of this sort suggests. Consider the cases (1, 2, 5, 6, 7) which exist when x^a lies to the left of x^c ; that is, the legislators agree that the administrative process is biased in favor of weaker or pro-producer regulation. Now let agency discretion increase asymmetrically— x' decreases while x'' remains constant. Assume, as seems reasonable in this case, that x^a moves leftward with x' . Some former case 1 legislators (agency supporters) may now become case 5 (mixed support), while the existing opposition of case 2 legislators to administrative enforcement will intensify. Cases 5–7 remain indeterminate but, *ceteris paribus*, increasing the distance between x^a and x_i would lead to lower support for administrative

process relative to courts in cases 6 and 7. Thus, support for administration will stay constant or decline in four of five cases, so if legislators are divided at all evenly across categories, the sum total of the likely changes should produce lessened support for administrative enforcement relative to courts.

In plain English, a perception of increasing bias in the administrative process coupled with increasingly broad but asymmetric delegations would lead to a decline in support for administration relative to courts.²⁰ Speculating a bit, as the myth of the disinterested expert died and evidence of agency capture accumulated, congressional support for the traditional administrative process should have weakened. That judicial deference to administration has weakened is well known (Stewart; Shapiro). Briefly, from the 1940s to the 1960s courts deferred to agencies, checking for adherence to the Administrative Procedures Act (APA) and other pertinent statutes but generally accepting agency decisions so long as they were based on some evidence (not "arbitrary and capricious"). But as the courts came to accept interest-group interpretations of American politics in general, and of regulation in particular, judicial deferral to agency expertise began to decline. Analogous developments occurred in Congress. Much of the legislation establishing the "new social regulation" was filled with detailed procedural requirements going far beyond the APA (McCubbins). Congressional majorities encouraged an accessible rulemaking process, sometimes going so far as to subsidize intervenors. And these same majorities provided every opportunity for disgruntled interests to shift the conflict from the administrative arena to the judicial. Though such developments admit to various interpretations, they are consistent with legislators trying to counter increasingly evident biases in administrative processes.

Finally, another factor may have contributed to a congressional perception of increasing bias in p^a distributions—the decline of majoritarian control in Congress itself. As central party leadership weakened, and as full committee power devolved to component subcommittees, opportunities grew for handfuls of unrepresentative members to influence administrative decisions with less interference from broader political units.²¹ If such opportunities were exploited, members may gradually have realized that regulatory policies were increasingly diverging from legislative intent. This would lead to lessened support for the administrative process, greater support for the judicial process, and perhaps for more stringent legislative controls on agency actions.²²

20. Note that while we have considered the case in which p^a lies to the left of p^c , the analysis is symmetric. Thus, if p^a lies above p^c and agency discretion to regulate more strictly is enhanced, legislators should again shift in the direction of a greater relative preference for court enforcement. The case in the text brings to mind traditional economic regulation, while the opposite case suggests the newer health and safety regulation.

21. Ackerman and Hassler provide a fascinating account of committee machinations during passage of the Clean Air Act Amendments of 1977.

22. One problem with this suggestion is that when reconstructing legislative intent the courts may rely too heavily on the committee reports prepared by the unrepresentative members and their staffs noted in the text. See Ackerman and Hassler; Melnick.

Some forms of the legislative veto (full chamber, but not committee) would be examples.

SUMMARY

This paper has explored some aspects of legislative delegation of power through the lens of a simple model of decisionmaking under uncertainty. In the model legislators choose between two lotteries. The lottery arising from judicial enforcement of statutory regulation is neutral in the sense that its expectation coincides with legislative intent—the position of the median legislator. In contrast, the lottery arising from a delegation to an administrative agency is biased in the sense that its expectation departs from legislative intent. When considered in conjunction with the internal distribution of power in the Congress the simple propositions generated by the model suggest plausible empirical relationships between structural position in Congress and support for administrative forms of regulation. As presently developed, the model deals primarily with the identity of the congressional delegatee—bureaucracies or courts—but it may be possible to extend the model to theorize about the breadth of the congressional delegation as well.

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